MODULE 4 · MONEY MATTERS

Types of Loans & Credit Score

StreetSmarter : Because no one taught us this stuff www.streetsmarter.in

A loan is just borrowed money with a promise attached, and your credit score is the record of whether you've kept promises like that before. Neither is scary once you understand how they actually work, and getting this right early makes college, your first car, and eventually a home, much cheaper.

1. Types of Loans You'll Actually Encounter

- Education loan: for tuition, hostel, and course costs, usually with a moratorium (no repayment needed) until you finish the course plus a few months.
- Personal loan: for anything, no collateral needed, but higher interest since the lender is taking on more risk.
- Vehicle loan: for a two-wheeler or car, with the vehicle itself acting as collateral.
- Home loan: for property, generally the lowest interest rate of the four, because the property itself secures the loan over a long term.

2. Education Loans, in Detail

This is likely the first real loan you or your family will take out, so it's worth understanding properly.

- The PM-Vidyalakshmi Portal (built on the older Vidya Lakshmi platform) lets you apply to multiple banks with a single form, the CELAF, and compare offers side by side instead of visiting each bank separately.
- Loans up to Rs. 7.5 lakh for students admitted to recognised institutions are often collateral-free and guarantor-free, backed by a government credit guarantee.
- Students from families with an annual income up to Rs. 8 lakh may qualify for a 3% interest subvention (a government-paid discount on the interest) on loans up to Rs. 10 lakh, during the study period and moratorium.
- The moratorium (repayment holiday) usually covers your course duration plus about a year after, so repayment doesn't start while you're still studying.

PM-Vidyalakshmi Portal · *compare and apply for education loans from multiple banks in one form*

3. What Is a Credit Score (CIBIL)?

- A three-digit number, 300 to 900, that summarises how reliably you've repaid borrowed money in the past. TransUnion CIBIL is India's most widely used credit bureau.
- 750 and above is generally considered a strong score, most lenders offer their best interest rates in that range.
- "NH" or "-1" doesn't mean a bad score, it means no credit history yet, which is completely normal before you've taken any loan or credit card.

- You can check your own CIBIL score for free once a year on the official CIBIL website, and unlimited times through several bank apps and finance platforms. Checking your own score never lowers it.

4. What Actually Builds or Hurts Your Score

- Paying EMIs and credit card bills on time, every time, is the single biggest factor. Even one missed payment can leave a mark.
- Using a small fraction of your available credit limit (ideally under 30%) looks better than maxing out a card regularly, even if you pay it off eventually.
- Applying for many loans or cards in a short period triggers multiple "hard inquiries," which can nudge your score down slightly, so don't apply everywhere at once out of anxiety.
- A longer credit history generally helps, which is one real argument for building good habits with a small credit product early, rather than waiting until you need a large loan.

A Few Myths, Busted

Myth	Fact
Checking your own CIBIL score lowers it.	Checking your own score is a "soft inquiry" and has zero effect. Only lenders checking it for a loan application can affect it slightly.
No credit history means a bad score.	It means no score yet (shown as NH or -1), not a poor one. Everyone starts here before their first loan or card.
Education loans always need collateral and a guarantor.	Loans up to Rs. 7.5 lakh for recognised institutions are often collateral-free and guarantor-free under the government credit guarantee scheme.

This page explains how loans and credit scores work in general, it isn't financial advice on which loan to take. Compare actual offers directly with banks or on the official PM-Vidyalakshmi portal before deciding.

Useful Links

PM-Vidyalakshmi Portal · *compare and apply for education loans from multiple banks*

CIBIL Official Website · *check your free annual credit score and report*